TOPIC 1 · THE GLOBAL ECONOMY

ABC News (citing Reuters) · 9 Nov 2026
HSC Economics news explainer · 10 November 2026

China's factory-gate inflation jumps to 5.7%

> Prices received by Chinese producers rose **5.7%** over the year to October, faster than expected. Consumer price inflation slowed, so costs are rising for producers but not being passed on to shoppers.

WHAT HAPPENED

- China's **producer price index (PPI)** rose 5.7% year-on-year in October, up from 5.0% in September and above the 5.3% forecast.
- The **consumer price index (CPI)** rose 0.7%, down from 0.9% and slightly below the 0.8% forecast.
- China's economy grew **faster than expected** in the September quarter (no figure was given in the report).
- A widening gap between producer and consumer prices suggests firms are facing higher costs while household demand stays weak.
- China is Australia's largest trading partner, so its prices and growth matter for Australian imports and resource exports.

5.7%
China PPI, y/y October (Sept 5.0%)

0.7%
China CPI, y/y October (Sept 0.9%)

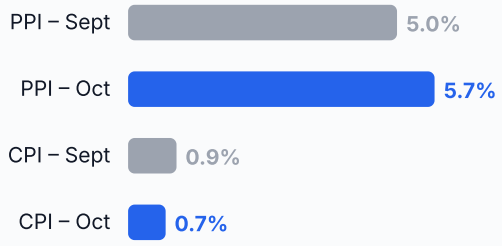
5.3%
PPI forecast that was beaten

PPI: measures changes in prices received by producers (factory-gate prices)

Imported inflation: inflation caused by rising prices of imported goods

BAR CHART

Producer prices are rising much faster than consumer prices



Annual inflation in China, September vs October 2026.

The **PPI** sped up while the **CPI** slowed. Firms' costs are rising, but weak consumer demand stops them passing those costs on to shoppers in full.

Exam angle: rising PPI can be an early sign of future consumer inflation, both in China and in countries that import Chinese goods.

FLOW CHART

How Chinese factory prices could reach Australia

Chinese input costs rise → PPI climbs to 5.7% → Chinese export prices may rise → Australian import prices rise → **Risk of imported inflation**

SYLLABUS LINK

Topic 1: economic growth and inflation in China and its links to the global economy.
Topic 2: Australia's trade with China.

TRY THIS (4 MARKS)

Distinguish between the producer price index and the consumer price index, and explain how rising producer prices in China could affect inflation in Australia.

Read more: ABC News markets blog, 9 Nov

Diagrams are illustrative, not to scale